single-window systems that overcome a maze of restrictions. Many or most enthusiastic announcements of single-window systems fail to work out in practice.

We must go deeper. We reform by whittling down and correcting state intervention, not putting a user interface on it. The reform required in the early 1990s was not a single-window system governing IPO approvals, it was the abolition of the office of the controller of capital issues. The reform required in trade liberalization was not a single-window system for import approvals, it was the removal of trade barriers. Our problem in India is inappropriate state coercion that limits cross-border activities, and this is not solved by a single-window system governing approvals for cross-border activities.

Elements of reduced scope for state intervention

There are many elements through which the scope of state intervention can be reduced.

Is there a market failure? Market failure is the technical core of public policy. There is great value in systematically using the toolkit of public goods, externalities, asymmetric information and market power.

Is a Coasean solution feasible? Many times, the correct way forward lies in establishing property rights and judicial infrastructure. Once this is done, Coasean negotiation will find the optimum answer without requiring the bureaucratic machinery.

Do traditional community solutions work well? Elinor Ostrom has reminded us of the remarkable outcomes through some traditional community arrangements. Those wielding state power should respect the possibilities for purely decentralized solutions to spring up, that allocate common goods without requiring a bureaucratic apparatus.

Can we free-ride on state capacity outside India? There is a class of problems where India can free-ride on the policy institutions of advanced